

**BKM INDUSTRIES LIMITED**

Fraud Risk Management Policy

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Approving authority	Board of Directors
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Applicable legal and regulatory framework

This Policy shall be read with the following principal requirements, each as amended, replaced, saved or brought into force from time to time:

- Companies Act, 2013, including sections 134, 143(12), 177 and 447
- Bharatiya Nyaya Sanhita, 2023; Prevention of Corruption Act, 1988; and Prevention of Money-laundering Act, 2002, where attracted
- SEBI Listing Regulations, Schedule III disclosure duties, and SEBI PIT Regulations
- Information Technology Act, 2000 and applicable sectoral requirements

STATUTORY OVERRIDE

If this Policy is inconsistent with a mandatory law, regulation, rule, circular, stock-exchange direction or judicial order, the mandatory requirement prevails. A more beneficial statutory employment benefit also prevails.

Policy provisions

Preamble

BKM Industries Limited ("the Company") is committed to conducting its business in an ethical, transparent, accountable, and responsible manner. The Company recognizes that fraud and other forms of misconduct can result in financial loss, operational disruption, regulatory consequences, reputational damage, and erosion of stakeholder confidence.

Accordingly, the Company has established this Fraud Risk Management Policy ("Policy") to provide a structured framework for identifying, assessing, preventing, detecting, investigating, and responding to fraud risks across its operations. This Policy supports a culture of integrity, accountability, and responsible decision-making and reinforces the Company's commitment to maintaining high standards of corporate governance.

The Company adopts a zero-tolerance approach towards fraudulent conduct while ensuring that all concerns, allegations, and investigations are addressed fairly, objectively, confidentially, and in accordance with applicable laws and principles of natural justice.

Objectives

The objectives of this Policy are to:

- Establish a comprehensive framework for identifying, assessing, preventing, detecting, investigating, and responding to fraud risks.
- Protect the Company's assets, resources, information, reputation, and stakeholder interests.
- Promote a culture of honesty, integrity, accountability, and ethical conduct.
- Strengthen internal controls and governance mechanisms designed to mitigate fraud risks.
- Define roles, responsibilities, and reporting obligations relating to fraud risk management.
- Encourage timely reporting of suspected fraud or misconduct without fear of retaliation.
- Ensure compliance with applicable laws, regulations, and internal policies.
- Facilitate appropriate corrective, disciplinary, civil, regulatory, or criminal action where warranted.

Applicability

This Policy applies to:

- All Directors, including Independent Directors;
- Employees of the Company, whether permanent, temporary, contractual, probationary, or part-time;
- Consultants, trainees, apprentices, interns, and retainers;
- Vendors, suppliers, contractors, agents, intermediaries, distributors, service providers, and business partners acting on behalf of or dealing with the Company; and
- Any other person or entity associated with the Company's operations or business activities.

This Policy applies across all offices, manufacturing units, branches, projects, subsidiaries, digital platforms, and business operations under the Company's control.

Regulatory Framework

This Policy shall be read in conjunction with the following, as applicable:

- Companies Act, 2013 and rules made thereunder;
- SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015;
- Prevention of Corruption Act, 1988, as amended;
- Bharatiya Nyaya Sanhita, 2023 and other applicable criminal laws;
- Information Technology Act, 2000;
- Company's Code of Conduct;
- Vigil Mechanism / Whistle Blower Policy;
- Risk Management Policy;
- Internal Financial Controls Framework; and
- Any other applicable laws, regulations, standards, or governance requirements.

In the event of any inconsistency between this Policy and applicable law, the provisions of the applicable law shall prevail.

Policy Statement

The Company is committed to maintaining an environment in which fraud, corruption, dishonesty, misappropriation, financial manipulation, bribery, forgery, cyber-enabled fraud, or any other form of unethical conduct is not tolerated.

Every person covered under this Policy is expected to act honestly, ethically, and in the best interests of the Company and to contribute to the prevention and detection of fraud.

The Company shall take appropriate action in response to substantiated instances of fraud while ensuring fairness, confidentiality, and due process throughout the assessment and investigation process.

Definitions

- **Fraud**

For the purpose of this Policy, "Fraud" means any intentional act, omission, deception, concealment, misrepresentation, abuse of position, breach of trust, or dishonest conduct undertaken to obtain an unauthorized benefit, avoid an obligation, or cause loss to the Company or any stakeholder.

Fraud includes attempted fraud and any act intended to facilitate or conceal fraudulent activity.

- **Fraud Risk**

"Fraud Risk" refers to the possibility that an event, action, omission, weakness in controls, or circumstance may result in fraudulent conduct causing financial, operational, legal, regulatory, or reputational harm to the Company.

Fraud risks may arise from internal or external sources and may involve employees, management, directors, contractors, vendors, customers, intermediaries, or any other third party.

Types Of Fraud

Fraud may include, but is not limited to:

Financial Fraud

- Manipulation or falsification of accounting records;
- Misstatement of financial information;
- Concealment of liabilities, expenses, or losses;
- Improper revenue recognition;
- Unauthorized financial transactions.

Asset Misappropriation

- Theft or misuse of cash, inventory, equipment, intellectual property, or other assets;
- Unauthorized use of Company resources.

Procurement and Vendor Fraud

- Fictitious vendors;
- Inflated invoices or duplicate payments;
- Kickbacks or unlawful commissions;
- Collusion with vendors or contractors;
- Undisclosed conflicts of interest.

Payroll and Human Resource Fraud

- Ghost employees;
- Manipulation of payroll records;
- False attendance reporting;
- Fraudulent reimbursement or benefit claims.

Cyber and Information Fraud

- Unauthorized access to systems or data;
- Identity theft;
- Phishing and social engineering attacks;
- Data manipulation, theft, or destruction;
- Cyber-enabled financial fraud.

Corruption and Bribery

- Offering, soliciting, giving, or receiving improper benefits;
- Facilitation payments;
- Abuse of authority for personal gain.

Regulatory and Compliance Fraud

- Forged documents or records;
- False declarations;
- Misleading disclosures to regulators, auditors, customers, or stakeholders.

Fraud Risk Management Framework

The Company shall maintain a fraud risk management framework comprising prevention, detection, response, investigation, and continuous improvement measures.

- Prevention

The Company shall implement appropriate preventive controls, including:

- Ethical leadership and tone at the top;
- Segregation of duties;
- Delegation of authority controls;
- Employee background verification, where appropriate;
- Vendor and third-party due diligence;
- Conflict of interest declarations;
- Employee awareness and training programmes;
- Information security and cybersecurity measures;
- Periodic review of internal controls and business processes.
- Detection

Fraud detection mechanisms may include:

- Internal audits and reviews;
- Management oversight and monitoring;
- Data analytics and exception reporting;
- Reconciliations and control testing;
- Surprise inspections and verification exercises;
- Employee reporting channels;
- Whistleblower complaints;

- Regulatory observations and external feedback.
- Response

Upon identification of a suspected fraud incident, the Company may take reasonable steps to:

- Contain potential losses or further exposure;
- Preserve records and evidence;
- Restrict or suspend access to systems, assets, or facilities where necessary;
- Conduct a preliminary assessment of the matter.
- Investigation

Suspected fraud incidents shall be investigated in accordance with the principles set out in this Policy.

Fraud Risk Assessment

The Company shall periodically conduct fraud risk assessments to identify areas vulnerable to fraudulent activities and control weaknesses.

Such assessments may consider:

- Nature and complexity of business operations;
- Financial reporting processes;
- Procurement and vendor management activities;
- Information technology and cybersecurity risks;
- Human resources and payroll processes;
- Regulatory compliance obligations;
- Emerging fraud trends and industry risks.

The findings of such assessments shall be used to strengthen internal controls and mitigation measures.

Conflict Of Interest

All Directors, employees, and relevant stakeholders shall avoid situations that may create actual, potential, or perceived conflicts of interest.

Any conflict of interest that could influence business decisions, procurement activities, contractual arrangements, financial transactions, or vendor selection processes shall be disclosed promptly in accordance with applicable Company policies.

Failure to disclose a material conflict of interest may be treated as a violation of this Policy.

Roles And Responsibilities

Board of Directors

The Board shall:

- Provide oversight of fraud risk management;
- Promote ethical governance and accountability;
- Review significant fraud incidents and corrective measures.

Audit Committee

The Audit Committee shall:

- Review significant or material fraud cases;
- Monitor investigation outcomes and corrective actions;
- Oversee the adequacy of fraud risk management controls;
- Recommend improvements where necessary.

Managing Director / Chief Executive Officer

The Managing Director / CEO shall:

- Ensure effective implementation of this Policy;
- Promote a culture of integrity and compliance;
- Ensure adequate resources for fraud risk management.

Chief Financial Officer

The CFO shall:

- Support effective financial controls;
- Monitor financial fraud risks;
- Coordinate financial reporting and regulatory obligations, where applicable.

Internal Audit Function

Internal Audit shall:

- Evaluate the effectiveness of fraud controls;
- Conduct risk-based reviews;
- Recommend improvements and corrective actions.

Department Heads

Department Heads shall:

- Maintain effective controls within their functions;
- Report suspected fraud promptly;
- Cooperate with investigations and corrective actions.

Employees and Stakeholders

All persons covered under this Policy shall:

- Act honestly and ethically;
- Remain vigilant to fraud indicators;
- Report concerns promptly and in good faith;
- Cooperate fully with investigations.

Reporting Of Suspected Fraud

Any suspected fraud or misconduct may be reported through:

- Reporting Manager or Department Head;
- Human Resources;
- Internal Audit;
- Compliance Officer;

- Vigil Mechanism / Whistle Blower channels; or
- Chairperson of the Audit Committee, where appropriate.

Reports made in good faith shall be encouraged even if complete evidence is not available at the time of reporting.

Knowingly false, frivolous, or malicious complaints may be dealt with appropriately under applicable policies.

Protection Against Retaliation

The Company prohibits retaliation against any person who reports a concern in good faith or participates in an investigation.

Retaliation may include harassment, discrimination, victimization, intimidation, or adverse employment action.

Any retaliatory conduct shall be treated as misconduct and may result in disciplinary action.

Investigation Principles

All investigations under this Policy shall be conducted in a manner that is:

- Independent and objective;
- Fair and unbiased;
- Confidential to the extent reasonably practicable;
- Consistent with applicable laws and Company procedures;
- Focused on preservation of evidence and fact-finding.

The initiation of an investigation shall not, by itself, imply wrongdoing by any individual.

Employees and stakeholders involved in an investigation shall cooperate fully and shall not conceal, alter, destroy, or tamper with evidence.

The Company may engage legal counsel, forensic experts, cyber specialists, auditors, investigators, or law enforcement authorities, where considered necessary.

Confidentiality

All reports, complaints, investigations, findings, records, and related information shall be treated as confidential and shall only be disclosed on a need-to-know basis or where required by law, regulation, or judicial process.

Persons involved in an investigation are expected to maintain confidentiality throughout the process.

Reporting Of Material Fraud

Significant or material fraud incidents, including those involving senior management, financial reporting irregularities, substantial financial exposure, or matters that may impact the Company's reputation or regulatory obligations, shall be reported to the Audit Committee and the Board of Directors, as appropriate.

The Company shall make such disclosures and notifications as may be required under applicable laws and regulations.

Disciplinary And Corrective Action

Where allegations are substantiated following due review and investigation, the Company may take one or more appropriate actions, including:

- Written warning or reprimand;
- Suspension;
- Termination of employment or engagement;
- Recovery of losses or damages;
- Blacklisting of vendors or contractors;
- Civil proceedings;
- Reporting to regulatory or law enforcement authorities; and
- Any other action permissible under applicable law.

The nature of action taken shall be proportionate to the facts and circumstances of each case.

Recovery Of Losses

The Company shall take reasonable and lawful measures to recover losses arising from fraudulent conduct, including through:

- Recovery proceedings against responsible persons;
- Insurance claims;
- Contractual remedies;
- Civil proceedings; and
- Asset tracing and recovery measures.

Record Retention

Records relating to fraud allegations, investigations, findings, evidence, and corrective actions shall be maintained in accordance with applicable legal requirements, regulatory obligations, and the Company's record retention policies.

Access to such records shall be restricted to authorized personnel.

Training And Awareness

The Company shall periodically conduct awareness and training programmes relating to:

- Fraud prevention and detection;
- Ethical conduct and integrity;
- Cybersecurity and cyber fraud risks;
- Reporting mechanisms and whistleblower protections;
- Responsibilities under this Policy.

Monitoring And Review

The implementation and effectiveness of this Policy shall be reviewed periodically through fraud risk assessments, internal audits, management reviews, incident analysis, and consideration of regulatory developments.

This Policy shall ordinarily be reviewed at least once every three years or earlier if required due to changes in applicable laws, regulatory requirements, business operations, or governance expectations.

Any material amendments shall be subject to approval by the Board of Directors.

Exceptions

Any exception to this Policy shall require prior approval of the Board of Directors or such authority as may be delegated by the Board, subject to applicable laws and regulatory requirements.

Policy Ownership

The administration and implementation of this Policy shall be the responsibility of the Compliance Function and/or Internal Audit Function under the oversight of the Audit Committee.

Effective Date

This Policy shall come into effect from the date of its approval by the Board of Directors of BKM Industries Limited and shall remain in force until amended, superseded, or withdrawn.

Approval And Amendment

This Policy has been approved by the Board of Directors of BKM Industries Limited at its meeting held on _____.

The Board reserves the right to amend, modify, or review this Policy from time to time in accordance with applicable laws, regulatory requirements, and business needs.

For BKM Industries Limited

Governance, monitoring and records

- Policy owner: Chief Financial Officer / Compliance Officer. The owner shall maintain procedures, registers, evidence and training appropriate to the control risks.
- Functional heads must escalate suspected breaches promptly and cooperate with reviews or investigations.
- Records must be accurate, access-controlled and retained for the longer of the statutory period, an applicable legal hold and the Company's Preservation Policy.
- A person who raises a concern in good faith is protected from retaliation, subject to the Company's whistleblower framework.

Review, approval and controlled disclosure

This Policy shall be reviewed annually and earlier on a material legal, regulatory, operational or organisational change. Amendments require approval by the Board of Directors unless a law permits a delegated, non-substantive update.

This is an internal controlled document. External disclosure is permitted only where required by law or specifically authorised through the Company's disclosure controls.